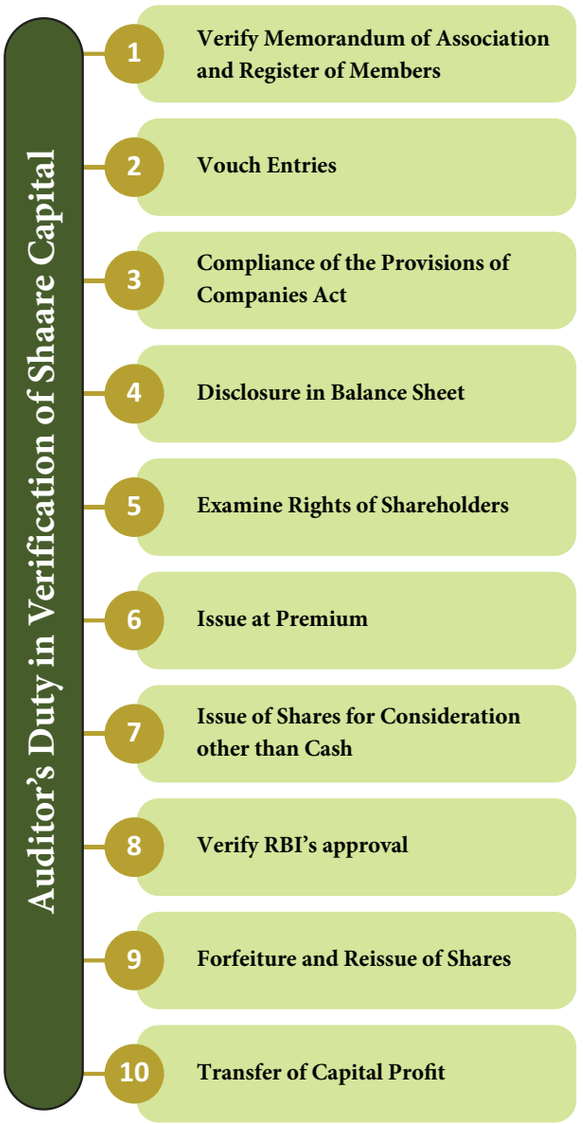
to various shares in the Articles of the company.

6. **Issue at Premium:** Where the shares are issued at premium, he should verify that they are shown separately in the Balance Sheet.
7. **Issue of Shares for Consideration other than Cash:** Where the shares were allotted for consideration other than cash, he should examine the contract constituting with the vendor share and minutes book of the board.
8. **Verify RBI's Approval:** Where shares are allotted to foreign nationals, the auditor should verify RBI's permission in this regard.
9. **Forfeiture and Reissue of Shares:** The auditor should ensure that Articles of Association permit for forfeiture shares of and check the entries regarding forfeiture and reissue of shares.
10. **Transfer of Capital Profit:** He should verify that capital profit if any on reissue of forfeited shares has been transferred to Capital Reserve.



6.2.3 Verification of Reserves and Surplus

Meaning

Reserves and Surplus is that portion of current profits or of accumulated profits which is not distributed as dividend, but is kept separate for purposes of meeting some known or unknown liabilities or for fulfillment of future needs.

Auditor's Duty

Reserves and surplus are appropriation out of profits. The auditor should verify that the reserves and surplus are shown on the liability side of Balance Sheet with footnotes and verify entries in the Profit and Loss Appropriation Account.

6.3 Verification of Debentures

6.3.1 Debentures - Meaning

Debenture means a document issued by a company to raise finance. It is an acknowledgement of a debt which is given under the common seal of the company.

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